

Laxmi Devi vs Krishna Devi on 24 December, 2025

IN THE COURT OF
JUDICIAL MAGISTRATE FIRST CLASS-02,
NORTH WEST DISTRICT, ROHINI COURTS, DELHI
Presided by: Sh. Apoorv Bhardwaj

In case of:-

LAXMI DEVI

..... Complainant

VERSUS

KRISHNA DEVI

..... Accused

JUDGMENT

a) Sl no. of the case Ct. Case 6541/2016

b) CNR of the case DLNW02-006737-2019

c) Date of institution 07.03.2019

d) Name, parentage Ms. Laxmi Devi, and address of the W/o Sh. Ravinder Kumar Saini complainant R/o 234, Agar Nagar, Prem Nagar III, Kirari, Suleman Nagar, Delhi.

e) Name, parentage and address of the accused	Krishna Devi W/o Sh. Mahender R/o H. No. A-97, Agar Nagar, Prem Nagar III, Kiari Suleman Nagar, Delhi
f) Offence complained of	138 NI Act
g) Total cheque amount	2,50,000/-
h) Plea of the accused	Pleaded not guilty
i) Reserved for judgement	19.12.2025
j) Final order	Convicted
k) Date of judgment	24.12.2025

BRIEF STATEMENT OF FACTS FOR THE DECISION

1. Vide this judgment, I shall decide the present complaint filed under section 138 of the Negotiable Instruments Act, 1881 (hereinafter referred to as 'NI Act') by the complainant against the accused.

Factual Background

2. Briefly stated, the case of the complainant is that the accused approached her on 17.12.2017 and asked her for a loan of 2,50,000. After initial reluctance, the complainant provided the said loan in cash to the accused on the same date against a written receipt of loan. Thereafter in discharge of her liability, the accused issued three cheques bearing nos. 107609, 107610 and 107611 to the complainant. Thereafter, the complainant presented the cheque bearing number 107609 to, her bank i.e. Punjab national bank, Rani Khera on 17.01.2019. The cheque was returned unpaid for the reason "Account Closed". Thereafter, legal demand notice was issued to the accused in regular course, however, she failed to pay the total cheque amount within 15 days thereof and hence the present case.

Trial & Proceedings before the Court

3. The accused was summoned and notice of the accusation was put to the accused under section 251 CrPC. The accused pleaded not guilty and claimed trial. At this stage, she admitted/denied the following aspects:-

Ct Case No.6541/2019 Laxmi v Krishna Page no.2 of 19 3.1. Issuing the cheque in question : Admitted. 3.2. Signatures on the cheque in question : Denied. 3.3. Receiving the legal demand notice : Denied. 3.4. Whether address on the legal notice is correct:-

Admitted At this stage, she stated that she was running a committee and the complainant had deposited an amount of Rs 55,000/-. The cheque in question was given as a security to the complainant, however, the committee got closed during lockdown. She had not taken an amount of Rs 2,50,000/- from the complainant.

4. The complainant was examined as CW-1 and she relied on pre-summoning evidence as post summoning evidence i.e on evidence by way of affidavit Ex CW1/A and on the following documents :-

4.1. Ex CW1/1 i.e. the loan agreement dt. 17.12.2017 4.2. Ex CW1/2 cheque in question.

4.3. Ex CW1/3 return memo.

4.4. Ex CW1/4 legal demand notice.

4.5. Ex. CW1/5 postal receipt.

4.6. Ex. CW1/6 Returned envelope with remarks 'refused'

5. CW-1 was duly cross-examined on behalf of the accused. During her cross-examination, she stated that :-

5.1. She was residing at Agar Nagar Colony for the last 25-26 years. It was correct that there were less houses in the said area. It was correct that she was familiar with almost all the persons who were residing in the same vicinity.

5.2. She knew Harveer, Rahul and Jagat Ram. She admitted that they were residing in front of each Ct Case No.6541/2019 Laxmi v Krishna Page no.3 of 19 other.

5.3. The account in which she presented the cheque in question was opened in the bank 07-08. She did not file ITR.

5.4. She is a house wife. She does not have any earnings.

She used to keep Rs. 2000/- to 4000/- at home. 5.5. She knew the accused being a neighbour for the last 10 years. There were cordial relations between her and the accused. She did not know that the husband of the accused was not residing with her for the last 10-15 years.

5.6. She could not remember if the son of the accused was a major or a minor when she had met her in the year 2014.

5.7. She had not withdrawn the loan amount from her bank which she had given to the accused, as both her son and husband were working and from them, she arranged some of the loan amount.

5.8. She also took loan from some other persons for giving the same to the accused.

5.9. She could not tell about the working capacity of the accused. She could not tell about any committee/chit fund run by the accused.

5.10. She did not know whether the accused had taken any loan from other persons.

5.11. She did not know whether 09 cheque bounce cases were filed against the accused by Jagat Ram, Rahul, Seema, Hardeep, Kaushalya, Seema, Veena.

Ct Case No.6541/2019 Laxmi v Krishna Page no.4 of 19 5.12. She did not lend money to any person. 5.13. She never met with the husband of the accused. The contents of the cheque in question were filled by her son and signed by the accused in her presence.

5.14. It is correct that three cheques were handed over by the accused to her as a security but it was not with regard to the committee.

5.15. She received three blank signed cheques of the accused in the year 2017 when she gave the loan amount to the accused. She never met with the husband of the accused and did not ask the

husband of the accused for lending her the alleged loan amount.

5.16. She did not remember the denomination of the notes.

She had given the loan amount in the presence of the son of the accused and her brother (muh bola Bhai) at her residence.

5.17. It was correct that on the day of the alleged loan she stayed at her home the whole day and she had not travelled outside.

5.18. It was correct that her husband and both sons were at their job when she lent the loan amount to the accused. The accused visited her house to receive the loan amount.

5.19. It was correct that she occasionally met with Mr. Ct Case No.6541/2019 Laxmi v Krishna Page no.5 of 19 Rahul, Jagat Ram and Harbir on the way. It was correct that she was aware that Harbir was working as a clerk in Tis Hazari Court and Rahul as an Advocate.

5.20. She did not know the date on which she gave the loan to the accused but she knew the month and year on which she had given the loan.

5.21. She denied various suggestions.

6. Thereafter, CE was closed.

7. The statement of the accused under section 313 CrPC was recorded wherein she reiterated her innocence and opted to lead defence evidence.

8. As DW1 the accused stated that:-

8.1. She used to run a committee and was its cashier. The complainant was her neighbour and they were acquainted for a long period.

8.2. The complainant had also joined her committee as a member and she does not remember since when she was a member of committee. Two committees subscribed by the complainant were successfully discharged by her.

8.3. During demonetization she had closed her committee as members refused to take old currency. She had given her cheques to the members as security.

Ct Case No.6541/2019 Laxmi v Krishna Page no.6 of 19 8.4. All those members have filed cases against her U/s 138 NI Act. 8-9. Cases were going on against her and three cases have been decided in her favor.

8.5. She used to run a committee to support my family as her husband did not support them financially. In that committee which she had to close, the complainant must have deposited 50-55,000/- only and she had not taken any loan from the complainant.

9. During her cross-examination, she stated that:-

9.1. It is correct that she had issued three cheques to the complainant. She voluntarily stated that they were security cheques for the committee.

9.2. She came to know regarding the dishonor of the cheque in question.

9.3. She did not file any complaint with the bank or the police regarding the misuse of my cheques.

9.4. She correctly identified her signature at point A and B on Ex. CW1/1 however she denied the thumb impression on point A and B and signature at point C and submitted that the same belonged to her son Arjun. VOL.

9.5. All committee transactions were recorded in a notebook at home. (gharelu maamla tha) 9.6. She denied various other suggestions.

Ct Case No.6541/2019 Laxmi v Krishna Page no.7 of 19

10. The accused also examined Sh. Devender Singh as DW2. During his examination -in chief he stated that:-

10.1. He is familiar with the complainant as she is residing in the same vicinity and he is also aware of the fact of the present complaint case.

10.2. The complainant filed the present case against the accused Krishna Devi U/s 138 NI Act. He alongwith the complainant were subscribers in the committee being run by the accused in the year, 2016.

10.3. He do not remember the month in which he had subscribed the committee however, by the time the demonetization committee got stopped and he already subscribed two such committees consisting of 20 members each. The complainant was also a member in the said committee.

10.4. At the time of commencement of committee the accused used to give her blank signed cheques to all the members as guarantee. At the time of demonetization the accused owed Rs. 50-55,000/-

from him and the complainant. The accused paid the amount due to him. There must have been some dispute on the amount payable by the accused to the complainant.

11. During his cross-examination the following notable points emerged:-

Ct Case No.6541/2019 Laxmi v Krishna Page no.8 of 19 11.1. He does not know the cheque amount in the present matter for which he came to record his statement.

11.2. He is not aware of any loan agreement.

11.3. It would be correct to say that complainant would be in possession of one cheque of the accused if she had subscribed to only one committee.

11.4. He does not know whether the sign over the CIQ belongs to the accused or not. The accused did not manage any account of the said committee and also not issued any membership card.

12. Thereafter, DE was closed.

13. During the course of final arguments, Ld counsel for the complainant Sh. Pankaj Dabas submitted that the complainant has duly proved her case by placing on record the entire documentary evidence and the accused has failed to rebut the presumption against her.

14. Per contra, on behalf of the accused, Sh. Kishan Kumar, Ld. Counsel for the accused submitted that:-

14.1. The accused has sufficiently rebutted the presumption against her as the complainant has failed to prove her financial capacity. It is also implausible that she took a loan to advance the loan to the accused.

14.2. Cheques were issued to her as security in a blank Ct Case No.6541/2019 Laxmi v Krishna Page no.9 of 19 signed condition and the same have been misused by the complainant.

14.3. 9 cheque bounce cases have been registered against the accused by various complainants who are in the same social circle and know each other. This shows that all the complainants are hand in gloves with each other. Complainant has also admitted acquaintance with Rahul, Jagat and Harbir who are complainants in other cases.

14.4. Ex CW1/1 was not proved as the witnesses to the said document were never examined.

Legal Position:-

15. The foremost check point is whether the facts averred by the complainant fulfil the basic statutory requirement for constituting an offence under section 138 NI Act. To establish the offence under Section 138 of the NI Act against the accused, the complainant must prove the following:-

(i) The accused must have drawn a cheque on an account maintained by him in a bank for payment of a certain amount of money to another person from out of that account;

(ii) The cheque should have been issued for the discharge, in whole or in part, of any debt or other liability;

Ct Case No.6541/2019 Laxmi v Krishna Page no.10 of 19

(iii) That cheque has been presented to the bank within a period of three months from the date on which it is drawn or within the period of its validity whichever is earlier;

(iv) That cheque is returned by the bank unpaid, either because of the amount of money standing to the credit of the account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with the bank;

(v) The payee or the holder in due course of the cheque makes a demand for the payment of the said amount of money by giving a notice in writing, to the drawer of the cheque, within 30 days of the receipt of information by him from the bank regarding the return of the cheque as unpaid;

(vi) The drawer of such cheque fails to make payment of the said amount of money to the payee or the holder in due course of the cheque within 15 days of the receipt of the said notice.

Being cumulative it is only when all the aforementioned ingredients are satisfied that the person who had drawn the cheque can be deemed to have committed an offence under section 138 NI Act.

Ct Case No.6541/2019 Laxmi v Krishna Page no.11 of 19

16. In the present case, the complainant has filed on record the original cheque as Ex. CW1/1. The genuineness of the cheque is not disputed. The accused has also admitted her signatures on the cheque in question and issuance of the cheque to the complainant.

Therefore ingredient number (i) stands fulfilled in the present case.

17. The said cheque was presented to the bank within a period of three months from the date on which it was drawn and was returned dishonoured for the reason "Account Closed". The genuineness of the returning memo dated 18.01.2019 Ex CW1/3 is also not disputed by the accused.

Therefore ingredient number (iii) & (iv) also stand fulfilled in this case.

18. The complainant then sent a legal notice, Ex CW1/4 dated 31.01.2019 through India Post vide postal receipt Dt. 31.01.2019 i.e. within the prescribed period of 30 days. The accused has denied receiving the legal demand notice however, she has admitted that legal demand notice was sent to her correct address. Since the legal notice bears the correct address of the accused therefore, it shall be presumed to have been delivered as per section 27 of the General Clauses Act, 1897. Moreover, in light of the decision of the Hon'ble Supreme Court of India in C C Alavi Haji v Palapetty Muhammad (2007) 6 SCC 555, the accused not having paid the amount of cheque in question within 15 days of service of summons to him, she cannot be allowed to raise any Ct Case No.6541/2019 Laxmi v Krishna Page no.12 of 19 grievance regarding the non-receipt of the legal notice. The fact that the legal demand notice has made a clear and unambiguous demand for payment of the cheque amount(s) in question is also not disputed.

Therefore, the ingredient number (v) and (vi) are also fulfilled in the present case.

19. Now, I shall consider whether condition number (ii) i.e. the requirement that the cheque in question have been issued for the discharge, in whole or in part, of any debt or other liability is fulfilled or not. Towards this end, it is apt to discuss that a negotiable instrument including a cheque carries following presumptions in terms of Section 118 (a) and Section 139 of the NI Act.

Section 118 of the NI Act provides :

"Presumptions as to negotiable instruments: Until the contrary is proved, the following presumptions shall be made:

(a) of consideration :- that every negotiable instrument was made or drawn for consideration, and that every such instrument, when it has been accepted, indorsed, negotiated or transferred was accepted, indorsed, negotiated or transferred for consideration;"

Section 139 of the N.I Act further provides as follows:

"Presumption in favour of holder:- it shall be presumed, unless the contrary is proved, that the holder of a cheque received the cheque of the nature referred to in Section 138 for the discharge, in whole or in part, of any debt or other liability"

Thus, the combined effect of Section 118(a) and Section 139 of NI Act raises a presumption in favour of the holder of the cheque Ct Case No.6541/2019 Laxmi v Krishna Page no.13 of 19 that he has received the same for discharge, in whole or in part of any debt or other liability. Therefore,

existence of condition number (ii) is also presumed against the accused.

20. When the presumption is raised in favour of the complainant, the burden is shifted on the accused to disprove the case of the complainant by rebutting the presumption. The accused can displace this presumption on the scale of preponderance of probabilities. Lack of consideration or a legally enforceable debt need not be proved beyond a reasonable doubt as is the general rule in criminal cases. The accused has to make out a fairly plausible defence which is acceptable to the court. This the accused can do either by leading his own evidence or by raising doubt /demolishing the material or evidence brought on record by the complainant. Reliance can be placed on *Basalingappa v Mudibasappa* (2019) 5 SCC 418.

21. Further, the court need not insist in every case that the accused should disprove the non-existence of consideration and debt by leading direct evidence because the existence of negative evidence is neither possible nor contemplated. Something which is probable has to be brought on record for getting the burden of proof shifted to the complainant. To disprove the presumptions, the accused should bring on record such facts and circumstances, upon consideration of which, the court may either believe that the consideration and debt did not exist or their non-existence was so probable that a prudent man would under the circumstances of the case, act upon the plea that they did not exist. The accused may also rely upon circumstantial evidence to shift the burden again on Ct Case No.6541/2019 *Laxmi v Krishna* Page no.14 of 19 the complainant. [Refer: *Bharat Barrel and Drum Manufacturing Company v Amin Chand Pyarelal* 1999 SCCOnline SC 188 and *Kumar Exports v Sharma Carpets*, 2008 SCC OnLine SC 1885].

22. Also, the test of proportionality should guide the construction and interpretation of reverse onus clauses and the defendant-accused cannot be expected to discharge an unduly high standard or proof. Presumption of innocence as a human right needs to be delicately balanced with doctrine of reverse burden contained in section 139 of NI Act. [Reference can be made to *Rangappa v Sri Mohan* 2010 SCC OnLine SC 583 and *Krishna Janardhan Bhat v Dattatreya G Hegde* 2008 (4) SCC 54].

23. Having referred to the above judicial pronouncements, I shall now analyse the record in their light.

Whether the accused has been able to rebut the presumption against her.

24. In the present case, the entire defence of the accused is that she did not take any loan from the complainant and the cheque in question was issued as a security cheque towards payment due towards the committee. After analysing the record from this perspective, this court would make the following observations:-

24.1. The accused claims that she had given the cheque (along with two more cheques) to the complainant as a security after the committee being run by her Ct Case No.6541/2019 *Laxmi v Krishna* Page no.15 of 19 collapsed during demonetisation in the year 2016.

However, DW2 has contradicted the same and asserted that the accused used to give security cheque(s) to all the members of the committee including the complainant at the commencement of the committee.

24.2. The accused also asserts that she had given three security cheques to the complainant and around Rs 50-55,000/- only was pending towards her. I find it quite implausible that any prudent person would give three security cheques towards a debt of only Rs 55,000/-

24.3. As per the accused she had given cheques in the year 2016. However, the alleged loan has been advanced in the year 2017 and the present case has been filed in the year 2019. It is quite unbelievable that any person would wait for three years before taking any action despite having security cheques for such a long period.

25. The presumption raised against the accused stands further solidified in view of the loan agreement which has remained unchallenged and undisputed. Ld. Counsel for the accused has submitted that the loan agreement has not been proved. However, during her cross-examination, the accused has admitted her photographs and signatures as well as execution of the said loan agreement. The loan agreement has recorded the entire transaction between the parties in hindi language which the accused does not Ct Case No.6541/2019 Laxmi v Krishna Page no.16 of 19 dispute to understand. The factum of advancement of three security cheques is also mentioned in the said document. The accused has simply stated that she signed on this agreement in good faith when the complainant had subscribed to her committee. I find it quite implausible that any person would execute a loan agreement and handover three security cheques to a subscriber to her committee/chit fund. DW2 has also not alluded to any such practice. Further, considering that the committee was dissolved during demonetisation in the year 2016 and the loan agreement is dt. 2017 and the Stamp Paper is also dt. 17.12.2017, the explanation provided by the accused appears to be outright false.

26. I have considered the argument of Ld. Counsel for the accused that the complainant has failed to prove her financial capacity to advance the loan in question. It is trite that in a trial under section 138 NI Act, the complainant is not required to prove his financial capacity at the first instance. However, the accused has the right to demonstrate that the complainant in a particular case did not have the capacity and therefore, the case of the accused is acceptable which he can do by producing independent materials, namely, by examining his witnesses and producing documents. It is also open to him to establish the very same aspect by pointing to the materials produced by the complainant himself. He can further, more importantly, achieve this result through the cross-examination of the witnesses of the complainant. Reliance can be placed on the recent judgment of the Hon'ble Supreme Court of India in Tedhi Singh v Narayan Dass Mahant (2022) 6 Ct Case No.6541/2019 Laxmi v Krishna Page no.17 of 19 SCC 735.

27. However, in the present case when questioned about her financial capacity the complainant categorically asserted that her sons and husband were working and she had arranged the loan through them and after taking loan from some other persons. Ld. Counsel has vehemently argued that no one takes a loan to advance a loan. Whatever circumstantial weight this argument could

carry stands nullified in view of the loan agreement which proves the loan transaction. Reliance can be placed on the judgment of Hon'ble High Court of Delhi in Lekhraj Sharma v Yashpal Gupta 2015 SCC OnLine Del 10074. In that case, the complainant had placed on record two pro-notes in evidence of the debt which remained unchallenged and unrebutted. With regard to the source of funds the complainant gave the names of people from whom he had arranged the loan amount. The accused had also failed to prove that the debt was lesser than the amount mentioned in the pro-notes/cheque in question. The accused had also failed to give any reply to the legal demand notice. In such a scenario, Hon'ble High Court of Delhi was pleased to convict the accused. The facts of this case are quite similar to Lekhraj Sharma.

28. Therefore, I am of the view that on a scale of preponderance of probabilities, the accused has not been able to rebut the presumption against him.

Therefore ingredient no. (ii) has not been established against the accused beyond reasonable doubt.

Conclusion Ct Case No.6541/2019 Laxmi v Krishna Page no.18 of 19

29. In view of the evidence adduced, documents put forth and arguments advanced by the parties and further in view of the above discussion, the court is of the considered view that Krishna Devi, W/o Mahender is held guilty of offence under Section 138 of Negotiable Instruments Act, 1881 and accordingly, she is hereby convicted under Section 138 of Negotiable Instruments Act, 1881.

Announced in open court on 24.12.2025 Judgment consists of 19 pages. Digitally signed by APOORV APOORV BHARDWAJ BHARDWAJ Date: 2025.12.24 17:25:58 +0530 (APOORV BHARDWAJ) JMFC-02, NORTH WEST DISTRICT ROHINI COURTS DELHI/24.12.2025 Ct Case No.6541/2019 Laxmi v Krishna Page no.19 of 19